

CORPORATE GOVERNANCE REPORT

Mindteck (India) Limited ('Mindteck' or 'the Company') is committed to ethical corporate practices based on conscience, openness, fairness, professionalism and accountability, for the benefit of its stakeholders and for long-term success. At Mindteck, we believe in maintaining the highest standards of corporate governance, not only in form but also in substance.

Over the years, our Company has ensured compliance of statutory requirements and effective governance systems and practices, and has worked towards transparency, disclosures, internal controls and promotion of ethics within the Company. The corporate governance philosophy of the Company has been further strengthened by the adoption of the Code of Business Conduct and Ethics Policy, Whistle Blower Policy, Human Rights and Labor Policy, Confidential information and IP Protection Policy and Procedure, Code of Conduct for Prohibition of Insider Trading, etc.

We comply with Clause 49 of the Listing Agreement and substantially comply with the Corporate Governance Voluntary Guidelines. In accordance with Clause 49 of the Listing Agreement with the Bombay Stock Exchange (BSE) in India, a report containing the details of the governance system and processes at the Company is as under:

I COMPANY'S PHILOSOPHY ON CODE OF CORPORATE GOVERNANCE

The Company's philosophy on Corporate Governance envisages attainment of the highest levels of transparency, accountability and equity in all facets of its operations and in all its transactions with its stakeholders, including its employees, customers, shareholders, vendors, supporting agencies, Government, and society at large.

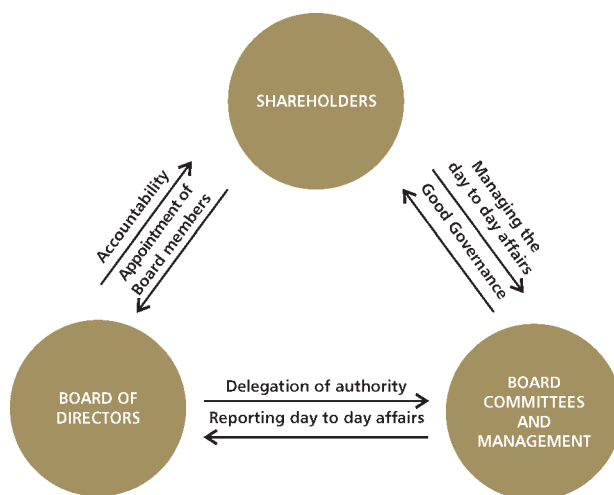
The Management aims to achieve its objective of increasing stakeholder's value while consistently observing the norms laid down in the Code of Corporate Governance. The Management has institutionalized Corporate Governance at all levels within the Company in order to ensure transparency, good practices and a systems-driven style of functioning.

The overall responsibility for guiding Corporate Governance within the Company rests with the Board of Directors ('the Board'), which has put in place appropriate policies guidelines, etc. The day-to-day implementation and monitoring of these policies and guidelines rest with the management of the Company. These policies are in consonance with the requirements of the Listing Agreement and applicable SEBI Regulations. Keeping in view the Company's size, complexity, global operations and corporate traditions, Mindteck has adopted the following main principles and philosophies:

- (i) Constitution of the Board of the Company, and a Corporate Governance Committee, with members of appropriate composition, size and expertise.
- (ii) Complete transparency in our operations.

- (iii) Maintaining prescribed levels of disclosure and complete openness in communication.
- (iv) Independent verification and safeguarding integrity of the Company's financial reporting.
- (v) A sound system of risk management and internal control.
- (vi) Timely and balanced disclosure of all material information concerning the Company to its stakeholders.
- (vii) A system to ensure compliance with applicable laws of all countries in which we operate.
- (viii) Maintenance of high standards of safety and health.
- (ix) Adhere to good governance practices in spirit and not just in letter.

II THE GOVERNANCE STRUCTURE AT MINDTECK



The governance mechanism adopted at Mindteck:

- (i) The Board is appointed by the shareholders and is vested with responsibility of conducting the affairs of the Company with the objective of maximization of returns to all stakeholders.
- (ii) The Board of Directors is responsible for the overall vision, strategy and good governance of the Company. The Board and Committees ensure accountability and transparency in the affairs of the Company to the Stakeholders by directing and controlling the management activities.
- (iii) The Chairman & Managing Director and Senior Management are responsible for setting up of business targets and day-to-day management of the Company in line with the objectives and principles set by the Board.

A. GOVERNANCE BY THE BOARD OF DIRECTORS

Composition:

The Board of Directors ('the Board') is at the core of our corporate governance practice and oversees how the

Management serves and protects the long-term interests of all our stakeholders. The Company's Board has an optimum combination of Executive, Non-Executive and Independent Directors with considerable experience in their respective fields to maintain the independence of the Board and to separate the functions of the Board from the management of the Company. There is a clear demarcation in the roles and responsibilities of the Chairman and the Board.

As at March 31, 2014 the Company had six Directors, of which three Directors are Independent, as defined in Clause 49 of the Listing Agreement. The Chairman and Managing

Director manages the day-to-day affairs of the Company. The Board believes that its current size is appropriate based on the present circumstances. The Board periodically evaluates the need for change in its composition and size.

None of the Directors on the Board hold directorships more than the statutory maximum limit as prescribed under the Act, Clause 49 of the Listing Agreement and the Voluntary Corporate Governance Guidelines; thus, none of the Directors on the Board are members of more than ten Committees or act as Chairman of more than five Committees across all companies in which they are Directors.

The names and categories of the Directors on the Board, directorships and shareholdings are as follows:

Director	Designation and Category	Age	Equity Shareholding	No. of Directorship*		Committees	
				Public	Private	Chairman	Member
Mr. Yusuf Lanewala ⁽¹⁾	Chairman and Managing Director	60	Nil	-	1	-	-
Mr. Dayananda Shetty ⁽²⁾	Executive Director	67	Nil	-	-	-	-
Mr. Meenaz Dhanani ⁽³⁾	Executive Director	57	Nil	-	-	-	-
Mr. Javed Gaya	Independent Director	58	Nil	1	7	1	-
Mr. Narayan A. Menon	Independent Director	65	Nil	-	-	-	-
Mr. Jagdish Malkani ⁽⁴⁾	Independent Director	58	NIL	-	2	-	-

* Excluding Directorship in Mindteck (India) Limited and Directorship in Foreign Companies.

- (1) Appointed as Chairman w.e.f. October 01, 2013 and Re-appointed as Managing Director & CEO w.e.f April 01, 2014.
- (2) Appointed as Executive Director w.e.f October 01, 2013 subject to the approval of the shareholders at the Annual General Meeting, 2014.
- (3) Appointed as Executive Director w.e.f. October 04, 2013 subject to the approval of the Central Government and shareholders at the Annual General Meeting, 2014.

All the Independent Directors furnish to the Company a declaration at the time of their appointment that they qualify the test of Independence as laid down in Clause 49 of the Listing Agreement and certify annually regarding their independence. The process of selection of Independent Directors is rigorous, transparent and objective and is aligned with the needs of the Company. None of the Independent Directors have any material pecuniary relationship or transactions with the Company. None of Independent Directors served on the Board of our company for more than nine years.

Board Definition of Independent Directors:

The Company has defined the independence as stipulated under Clause 49 of the Listing Agreement. Accordingly, an Independent Director means a person who is not an officer or employee of the Company or its subsidiaries or any other individual having a material pecuniary relationship or transactions with the Company which, in the opinion of our Board of Directors, would interfere with the exercise of independent judgment in carrying out the responsibilities of a Director.

Board Meetings:

The Board meets once in a quarter and additionally as and

when required. The calendar of the Board meetings is decided in consultation with the Board and the schedule of meetings is communicated to all Directors in advance to enable them to schedule their effective participation during the Board meetings. The items in the Agenda are backed by comprehensive background information to enable the Board to take appropriate decisions. In addition to the information required under Annexure IA to Clause 49 of the Listing Agreement, the Board is also kept informed of major events/items and approvals taken wherever necessary.

The Board met four times in the financial year 2013-2014 – May 10,2013, August 08,2013, November 12,2013 and January 31,2014.

Remuneration:

During the year 2013-2014, the remuneration of Rs.3,434,023 was paid to the Chairman and Managing Director and no sitting fees were paid to the Chairman and Managing Director w.e.f. his appointment as Managing Director. The Company paid sitting fees of Rs. 20,000 per meeting to its Independent Directors for attending meetings of the Board and Rs. 10,000 for attending Committee meetings.

Details of attendance of the Directors and sitting fees paid to them are as follows:

Name of the Director	No. of Board Meetings during 2013-14		Whether attended last AGM held on September 27, 2013	Sitting fees for Board and Committee meetings (in Rs.)
	Held	Attended		
Mr. Yusuf Lanewala ⁽¹⁾	4	4	Yes	40,000
Mr. Dayananda Shetty ⁽²⁾	4	2	No	Nil
Mr. Meenaz Dhanani ⁽³⁾	4	1	No	Nil
Mr. Javed Gaya	4	4	Yes	190,000
Mr. Narayan A. Menon	4	2	Yes	110,000
Mr. Jagdish Malkani	4	3	Yes	120,000

(1) Appointed as Additional Director w.e.f. February 13, 2013 and later appointed as Managing Director and CEO w.e.f. June 11, 2013 to March 31 2014, further appointed as Chairman w.e.f. October 01, 2013 and reappointed as Managing Director & CEO w.e.f. from April 01, 2014 subject to the approval of shareholders at the Annual General Meeting, 2014.

(2) Appointed as Executive Director w.e.f. October 01, 2013 subject to the approval of shareholders at the Annual General Meeting, 2014.

(3) Appointed as Executive Director w.e.f. October 04, 2013 subject to the approval of the Central Government and shareholders at the Annual General Meeting, 2014.

Non-Executive/Independent Directors' remuneration:

The members at the Annual General Meeting of the Company on August 11, 2010, approved the payment of commission to the Non-Executive/Independent Directors within the ceiling of 1% of the net profits of the Company as computed under the applicable provisions of the Companies Act, 1956. The amount of the said commission will be decided each year by the Board of Directors and distributed amongst the Non-Executive/Independent Directors. However, commission shall be paid to Non-Executive/Independent Directors of the Company during the current year subject to the approval of shareholders at Annual General Meeting, 2014. The Company also reimburses the out-of-pocket expenses incurred by the Directors for attending the Meetings.

Shares and options held by Non-Executive/Independent Directors:

None of the Non-Executive/Independent Directors hold shares or options in the Company.

Remuneration to Executive Directors:

The Company paid remuneration to Mr. Yusuf Lanewala, Chairman and Managing Director a sum of Rs. 3,434,023 which was approved by the shareholders at the Annual General Meeting held on September 27, 2013. Mr. Dayananda Shetty was appointed as Executive Director w.e.f. October 01, 2013 and remuneration of Rs. 2,070,581 was paid as approved by the Board of Directors and subject to the approval of shareholders at the Annual General Meeting, 2014.

The Company did not pay any remuneration to Mr. Meenaz Dhanani who was appointed as Executive Director w.e.f. October 04, 2013 and he is drawing salary from the Company's wholly owned subsidiary in the US, Mindteck, Inc., subject to the approval of the Central Government and shareholders at the Annual General Meeting, 2014.

Proceedings of Board Meetings:

The agenda items for the Board meetings are decided in advance in consultations with heads of various functions and the Chairman and Managing Director. Every Board member can suggest additional items for inclusion in the agenda. Managers who can provide additional insights into the items discussed in the Board Meetings are also invited for the Board Meetings. The decisions taken at the Board Meetings are promptly communicated to all concerned departments for the completion of the action items arising out of the deliberations of the meeting. Report on the action items are placed before the Board at its succeeding meeting.

Information and updates to Board of Directors:

- Annual operating plans and budgets, including capital budgets and any updates.
- Quarterly results for the Company and its operating divisions or business segments and monthly MIS information on the key operational parameters of the Company.
- Minutes of meetings of the Audit Committee, other Committees of the Board and subsidiaries.
- The information on recruitment and remuneration of senior officers.
- Show cause, demand, prosecution notices and penalty notices, which are materially important, if any.
- Fatal or serious accidents, dangerous occurrences, any material effluent or pollution problems, if any.
- Any material default in financial obligations to and by the Company, or substantial non-payment for services rendered by the Company, if any.
- Any issue which involves possible public or product liability claims of substantial nature, including any judgment or order which may have passed strictures on the conduct of the Company or taken an adverse view

regarding another enterprise that can have negative implications on the Company, if any.

- Details of any joint venture or collaboration agreement or acquisition, if any.
- Transactions that involve substantial payment towards goodwill, brand equity or intellectual property, if any.
- Significant labour problems and their proposed solutions. Any significant developments on the Human Resources/Industrial Relations front like signing of wage agreements, implementation of Voluntary Retirement Scheme, etc., if any.
- Sale of material nature, of investments, subsidiaries, assets, which is not in normal course of business, if any.
- Quarterly details of foreign exchange exposures and the steps taken by management to limit the risks of adverse exchange rate movement, if material.
- Non-compliance with or violations of any regulatory, statutory or listing requirements and shareholders service such as non-payment of Dividend or delay in share transfers, etc., if any.

All the information to be provided to the Board as per Annexure-1A of Clause 49 of the Listing Agreement has been made available to the Board. The Company's Board reviews and takes on record the statutory compliance reports submitted by the Company's Management on a quarterly basis. In case of business exigencies, resolutions of the Board are passed by circulation.

Recording minutes of proceedings at Board and Committee Meetings:

The Company Secretary records the Minutes of the proceedings of each Board and Committee Meetings. Draft minutes are circulated to all the members of the Board/Committee Meetings for their comments. The minutes are entered in the Minutes book immediately on approval and signed.

Post meeting follow up mechanism:

The important decisions taken at the Board/Committee meetings are communicated promptly to the concerned departments/divisions and Bombay Stock Exchange wherever necessary to comply with the Listing Agreement. An Action Taken Report on the decisions/minutes of the previous meeting(s) is placed at the following meeting of the Board/Committee for noting and taking on record. Thus, an effective post meeting follow up, review and reporting of the decisions taken at the Board/Committee meetings is ensured.

B. GOVERNANCE BY SUB-COMMITTEES OF THE BOARD OF DIRECTORS

Your Company has the following committees of Board of Directors:

- (i) Audit Committee
- (ii) Nomination and Remuneration Committee
- (iii) Stakeholders Relationship Committee
- (iv) Corporate Governance Committee

(i) Audit Committee

The Company's Board has constituted an Audit Committee pursuant to the provisions of the Companies Act, which has all the necessary features as required by the Listing Agreement.

(a) Composition:

Narayan A. Menon, Chairman (Independent Director)

Javed Gaya, Member (Independent Director)

Yusuf Lanewala, Member (Chairman and Managing Director)

Jagdish Malkani,⁽¹⁾ Member (Independent Director)

Mr. Shivarama Adiga S., Company Secretary, acted as Secretary for all the Audit Committee meetings held in 2013-14.

(1) Appointed as Member of the Committee w.e.f. November 12, 2013.

(b) Objective/Powers: Powers of the Audit Committee include:

- (i) To investigate any activity within its responsibilities.
- (ii) To have independent back office support and other resources from the company.
- (iii) To have access to information contained in the records of the Company or from any employee.
- (iv) To obtain legal or professional advice from external sources.
- (v) To have the facility of separate discussions with both internal and external auditors as well as the management.
- (vi) To secure attendance of outsiders with relevant expertise, if it considers necessary.

(c) Roles and Responsibilities:

- (i) Recommend the appointment, re-appointment and removal of external auditor and internal auditor, approve terms of engagement, including fixation of audit fee, and also approve the payment for any other services. The Committee shall review and monitor the external auditor's independence and objectivity and the effectiveness of the audit process.
- (ii) Review financial reporting process and the disclosure of financial information of the Company, as well as subsidiaries, to ensure that the financial statement is correct, sufficient and credible. Also, monitor the integrity of the financial statements of the Company.
- (iii) Review, with management, the quarterly and annual financial statements before submission to the Board, focusing primarily on:
 - Any changes in accounting policies and practices and reasons for the same.
 - Major accounting entries based on exercise of judgment by management.

- Qualifications in draft audit report.
 - Significant adjustments arising out of audit.
 - The going concern assumption.
 - Compliance with accounting standards.
 - Compliance with Stock Exchange and legal requirements concerning financial statements.
 - Management discussion and analysis of financial conditions and results of operations.
 - Directors' responsibility statement.
- (iv) Review, with management, the statement of uses/ application of funds raised through an issue (i.e. Public issue, rights issue, preferential issue, etc.), the statement of funds utilized for the purposes other than those stated in the offer documents/ prospectus/notice and the report submitted by the monitoring agency which monitors the utilization of proceeds of the public/rights issue as well as recommend to the Board the steps to be taken in this regard.
- (v) Review the adequacy of internal control systems and review internal audit reports, management letters relating to internal control weaknesses, if any.
- (vi) Review the adequacy of internal audit function, including the structure of the internal audit department, staffing and seniority of the official heading the department, reporting structure coverage and frequency of internal audit.
- (vii) Discussion, review and follow up on the findings of any internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature including management override of internal controls and financial irregularities involving management team members.
- (viii) Discussions with external auditors before the audit commences about the nature and scope of audit, as well as have post-audit discussions to ascertain any areas of concern.
- (ix) Review the Company's financial and risk management policies and systems. Assist executive management to identify the risk impacting the Company's business and document the process of risk identification, risk minimization and risk optimization as a part of risk management policy.
- (x) Look into the reasons for substantial defaults in the payment to depositors, debenture holders, shareholders (in case of non-payment of declared dividends) and creditors, and monitor utilization of funds raised through public and preferential issues.
- (xi) Review the functioning of the Whistle Blower mechanism established in the Company.

(xii) Approve the appointment of the CFO (i.e., the whole-time Finance Director or any other person heading the finance function or discharging that function) after assessing his qualifications, experience and background.

(xiii) Monitor and approve all Related Party Transactions including any modification/amendment, with promoters or the management, their subsidiaries or relatives, etc. that may have potential conflict with the interests of Company at large and periodically review the minutes of subsidiary companies.

(xiv) Any other matter referred to the Audit committee by the Board of Directors of the Company.

(d) Meetings: The Audit Committee meeting was conducted four times during the year on May 06, 2013, August 08, 2013, November 12, 2013 and January 31, 2014. The approved minutes of the meetings were placed before the Board at the succeeding Board Meeting for information. The quorum of the Committee is two members or one-third of its members, whichever is higher. Quorum was present at all the meetings.

Attendance Record in Audit Committee Meetings held during the year are as follows:

Table No. 03 Members	No of meetings	
	Held	Attended
Mr. Narayan A. Menon, Chairman	4	3
Mr. Javed Gaya	4	4
Mr. Yusuf Lanewala	4	4
Mr. Jagdish Malkani ⁽¹⁾	4	2

(1) Appointed as Member of the Committee w.e.f. November 12, 2013.

(ii) Nomination and Remuneration Committee

(a) Composition:

Javed Gaya,⁽¹⁾ Chairman (Independent Director)

Narayan A. Menon,⁽²⁾ Member, (Independent Director)

Yusuf Lanewala,⁽³⁾ Member (Chairman and Managing Director)

Jagdish Malkani,⁽⁴⁾ Member (Independent Director)

(1) Appointed as Chairman of the Committee w.e.f. November 12, 2013, until that date he was a member of the Committee.

(2) Appointed as Member of the Committee w.e.f. November 12, 2013, until that date he was a Chairman of the Committee.

(3) Resigned as Member of the Committee w.e.f. November 12, 2013.

(4) Appointed as Member of the Committee w.e.f. November 12, 2013.

(b) Powers/Roles: The terms of reference of the Nomination and Remuneration Committee include the following:

- (i) To decide on all matters relating to the Company's

stock option/share purchase schemes including the grant of options/shares to the Directors and employees of the Company and/or of its subsidiaries.

- (ii) To determine and make suitable recommendations to the Board in all matters relating to qualification, appointment, evaluation and remuneration of the Independent Directors of the Board, Executive Directors of the Company and its managerial personnel under the Companies Act, 1956.
- (iii) To review performance and determine the remuneration payable to Executive Directors.
- (iv) Establishment and administration of employee compensation and benefit plans.
- (v) To decide and make suitable recommendations to the Board on any other matter that the Board may entrust the Committee with or as may be required by any statutes/regulations/guidelines/listing agreements, etc.

As the Nomination and Remuneration Committee is responsible for all the objectives of the Nomination Committee as suggested under Voluntary Corporate Governance Guidelines.

(c) Meetings: The Committee held three meetings during the year – August 08, 2013, November 12, 2013 and January 31, 2014.

Attendance Record in Nomination and Remuneration Committee meetings held during the year are as follows:

Members	No of meetings	
	Held	Attended
Mr. Javed Gaya, Chairman ⁽¹⁾	3	3
Mr. Narayan A. Menon ⁽²⁾	3	2
Mr. Yusuf Lanewala ⁽³⁾	3	2
Mr. Jagdish Malkani ⁽⁴⁾	3	2

1. Appointed as Chairman of the Committee w.e.f. November 12, 2013, until that date he was a member of the Committee.
2. Appointed as Member of the Committee w.e.f. November 12, 2013, until that date he was a Chairman of the Committee.
3. Resigned as Member of the Committee w.e.f. November 12, 2013.
4. Appointed as Member of the Committee w.e.f. November 12, 2013.

(iii) Stakeholders Relationship Committee

(a) Composition:

Javed Gaya, Chairman (Independent Director)
 Narayan A. Menon,⁽¹⁾ Member (Independent Director)
 Yusuf Lanewala, Member (Chairman and Managing Director)

Dayananda Shetty,⁽²⁾ Member (Executive Director)

Jagdish Malkani,⁽³⁾ Member (Independent Director)

(1) Resigned as Member w.e.f. November 12, 2013.

(2) Appointed as Member of the Committee w.e.f. November 12, 2013.

(3) Appointed as Member of the Committee w.e.f. November 12, 2013.

Mr. Shivarama Adiga S., Company Secretary, acts as the Chief Compliance Officer.

(b) Objective/Powers: The Stakeholders Relationship Committee approves the transfer of shares, issue of duplicate share certificates, etc. The Committee also oversees redressal of the shareholders' grievances/complaints and compliance with the SEBI (Prohibition of Insider Trading) Regulations, 1992. Further, the Committee has delegated the power of transfer of shares to the Company Secretary and to M/s. Universal Capital Securities Pvt. Ltd, the Company's Registrars and Share Transfer agents, to attend to share transfers generally once in 15 days, which are validated by the Committee.

(c) Meetings: The Committee met four times during the year – May 06, 2013, August 08, 2013, November 12, 2013 and January 31, 2014. The minutes of the meetings were placed before the Board at the following Board Meeting for information. Quorum was present at all the meetings.

Attendance Record in Stakeholders Relationship Committee Meetings held during the year are as follows:

Members	No of meetings	
	Held	Attended
Mr. Javed Gaya, Chairman	4	4
Mr. Narayan A. Menon ⁽¹⁾	4	2
Mr. Yusuf Lanewala	4	4
Mr. Dayananda Shetty ⁽²⁾	4	2
Mr. Jagdish Malkani ⁽³⁾	4	2

(1) Resigned as Member w.e.f. November 12, 2013.

(2) Appointed as Member of the Committee w.e.f. November 12, 2013.

(3) Appointed as Member of the Committee w.e.f. November 12, 2013.

Report of Investor Complaints received and disposed of during year ended March 31, 2014:

No. of Investor issues	No. of cases outstanding as on April 01, 2013	No. of cases added during the year	No. of cases resolved during the year	No. of cases outstanding as on March 31, 2014
No. of Investor issues	Nil	1	1	Nil
No. of legal cases	Nil	Nil	Nil	Nil

There were no outstanding complaints pending for more than 15 days. There were no cases which were not solved to the satisfaction of the shareholders.

(iv) Corporate Governance Committee

(a) Composition:

Narayan A. Menon,⁽¹⁾ Chairman (Independent Director)
Yusuf Lanewala, Member (Chairman and Managing Director)

Jagdish Malkani, Member (Independent Director)

Meenaz Dhanani,⁽²⁾ Member (Executive Director)

(1) Appointed as Chairman w.e.f. November 12, 2013.

(2) Appointed as Member of the Committee w.e.f. November 12, 2013.

(b) Objective: The objective of the Committee is to ensure excellence in governance, foster exemplary standards of business conduct, aim to achieve highest levels of transparency, accountability and equity in all facets of operations and transactions in pursuit of increased value to stakeholders.

(c) Terms of reference of the Corporate Governance Committee:

(i) Review Board/Corporate Codes and make suitable recommendations to the Board from time to time.

(ii) Oversee Corporate Social Responsibility and Sustainability related issues.

(iii) Review the Structure/Charters of other Board Committees and make suitable recommendations to the Board from time to time.

(iv) Recommend best practices and standards in any particular area to the Board of Directors as per its mandate.

(d) Meetings: During the year, the Committee did not meet.

C. GOVERNANCE BY MANAGEMENT

OTHER DISCLOSURES:

Related Party Transactions:

During the year 2013-14, no materially significant related party transactions were entered into by the Company with the Directors or management or their relatives that may have a potential conflict with the interest of the Company at large. The transactions with subsidiaries were at arm's length. Notes to accounts 3.17 of the Financials as at March 31, 2014 contains a list of related party relationships and transactions as required by Accounting Standard-18 on Related Party Disclosures as specified in Companies (Accounting Standards) Rules, 2006.

Disclosures regarding the appointment or re-appointment of Directors:

During the year, Mr. Yusuf Lanewala was appointed as the Chairman w.e.f. October 01, 2013. Since his term of appointment ended on March 31, 2014, as a Managing Director and Group CEO, he was again re-appointed as Managing Director & CEO w.e.f. April 01, 2014.

The Board of Directors of the Company appointed Mr.

Dayananda Shetty and Mr. Meenaz Dhanani as Executive Directors w.e.f. October 01, 2013 and October 04, 2013, respectively.

According to the Article 112 of the Articles of Association of the Company, and the provisions of Companies Act 2013, one third of the Directors other than Independent Directors shall retire by rotation and if eligible, seek re-appointment at the shareholders annual general meeting. Mr. Yusuf Lanewala will retire by rotation in the ensuing AGM. The Board has recommended his re-appointment and sought shareholders' approval provided in the Notice convening the AGM.

Details of non-compliance by the Company, penalties, and strictures imposed on the Company by Stock Exchanges or Securities and Exchange Board of India ('SEBI') or any statutory authority, on any matter related to capital markets, during the last three years:

No penalties have been imposed on the Company by the Stock Exchange or SEBI or any other statutory authority on any matter related to capital market during the last three years.

COMPLIANCE CERTIFICATES:

Certificate on Corporate Governance:

As required under Clause 49 of the Listing Agreement, the Auditor's Certificate is obtained and provided in the Annual Report.

CEO and CFO Certificate:

The Certificate given by the Chairman & Managing Director and Financial Controller as per Clause 49 in the prescribed format also form part of this Annual Report.

Code of Conduct and Business Ethics:

In compliance with Clause 49 of the Listing Agreement, the Company has adopted a Code of Business Conduct and Ethics for Directors and Senior Management of the Company and its subsidiaries. All members of the Board and Senior Management Personnel have affirmed compliance with the Company's Code of Conduct and Business Ethics. A copy of the said Code of Business Conduct and Ethics is available on our website www.mindteck.com.

Risk Management:

The Company has laid down systems to inform Board members about the risk assessment and minimization procedures. A risk Committee consisting of Senior Management oversees the risk assessment and mitigation of Risk. Risk Charters for all functions have been developed and risk note is presented to the Board periodically. Thus, there have been deliberate efforts made to identify the risk exposure of the organization and take effective steps to for the mitigation for the organization.

The risks and Company's risk mitigation strategies are fully described in the risk management section and these procedures are periodically reviewed by Board of Directors to ensure effective controls.

Compliance with laws:

Mindteck believes in commitment to values and compliance of

laws which are the hallmarks of good corporate governance. Legal Compliance Management at Mindteck transcends to using compliances as a yardstick to measure and manage business risks to maximize shareholder value. The Board periodically reviews the status of compliance and the Company continuously aims to be compliant of all applicable laws at all times.

Management Discussion and Analysis:

A Management Discussion and Analysis Report has been included in the Annual Report.

Subsidiaries:

The Company has no Indian listed or non-listed subsidiary. The statement pertaining to Section 212 of the Companies Act, 1956 contains details about the subsidiary companies of Mindteck (India) Limited.

Compliance with mandatory and non-mandatory requirements under Clause 49 of the listing agreement:

The Company has disclosed all the mandatory requirements under clause 49 of the listing agreement. Among the non-mandatory requirements of Clause 49 of the listing agreement, the Company has set up Corporate Governance Committee, Nomination and Remuneration Committee and has a Whistle Blower policy in place.

Policies and Best Practices:

In our endeavor towards good corporate governance, we have formulated various policies and procedures to maintain transparency, professionalism and accountability in the organization.

Code of Corporate Disclosure Policy:

In pursuance to Clause 12(2) of Chapter IV of SEBI (Prohibition of Insider Trading) Regulations, 1992 as amended by the SEBI (Insider Trading) (Amendment) Regulations, 2002, the Company has adopted a Code for Corporate Disclosure Practices for timely, appropriate and adequate disclosure of price sensitive information. The Company, through this policy, provides investors with direct access to analyst briefing material, significant background information and questions and answers on its website.

Board Charter:

Mindteck believes that corporate governance as a discipline leads to effectiveness and transparency in the functioning of any corporate entity. Towards this end, Mindteck has adopted a Board Charter which clearly defines the mission, role, structure, responsibilities and operations of the Board of Mindteck and its delegation of authority to management.

Mindteck Code of Conduct for Prohibition of Insider Trading:

Pursuant to Regulation 12 of the SEBI (Prohibition of Insider Trading) Regulations, 2002, the Company has formulated the "Mindteck Code of Conduct for Prohibition of Insider Trading" for regulating and preventing designated persons [as defined in the SEBI (Prohibition of Insider Trading) Regulations, 2002] from using unpublished price sensitive information to their advantage. The Company Secretary of the Company is the Compliance Officer for the purpose of this Code of Conduct and maintains a record of the designated persons. No designated person of the Company has violated this Code and no unpublished price sensitive information has been communicated or used by them.

Whistle Blower:

The Company has adopted a Whistle Blower Policy and has established the necessary mechanism in line with Clause 49 of the Listing Agreement with the Stock Exchanges, for employees to report concerns, alleged wrongful conduct, including unethical behavior, financial irregularities, sexual harassment infringement and misuse of Intellectual Property. It also provides protection against victimization of employees who avail of the mechanism and also allows direct access to the Ethical Committee and the Audit committee. The policy is displayed on the intranet of the Company.

Software Development Centers:

Bengaluru:

- Prestige Atlanta, No.10, Industrial Layout
7th Main, 80 Feet Road, 3rd Block
Koramangala, Bengaluru – 560 034, India

Kolkata:

- Millennium Towers
Unit: T-29C, Tower II, Level IX, Plot No. 62, Block DN
Sector V, Salt Lake, Kolkata – 700 091, India

Enola:

- 1828 Good Hope Road
Suite 201, Enola, PA 17025, US

Singapore:

- 7B Keppel Road
#05-09 PSA Tanjong
Pagar Complex, Singapore 089055

Investor Contacts:

Registered Office Address for correspondence:

Mindteck (India) Limited

Prestige Atlanta, No.10, Industrial Layout
7th Main, 80 Feet Road, 3rd Block
Koramangala, Bengaluru – 560 034, India
Tel: 91 80 4154 8000; Fax: 91 80 4112 5813

For additional information on the Company, refer to website: www.mindteck.com

For queries relating to financial statements:

B.V. Ramesh

Financial Controller
Tel: 91 80 4154 8000 Extn. 8005
E-mail: ramesh.venugopal@mindteck.com

For queries relating to shares/dividend/compliance:

Shivarama Adiga S.

Vice President, Legal & Company Secretary
Tel: 91 80 4154 8000 Extn. 8013
Email: shivarama.adiga@mindteck.com

Address of Registrar and Transfer Agents:

M/s. Universal Capital Securities Pvt. Ltd.

(Formerly M/s. Mondkar Computers Pvt. Ltd.)
21, Shakil Niwas, Opp. Satya Saibaba Temple
Mahakali Caves Road, Andheri (East), Mumbai - 400 093, India
Contact: Santosh Gamare
Tel: 91 22 28207203-05, Fax No: 91 22 28207207
Email: gamare@unisec.in

Addresses of Regulatory Authority/Stock Exchanges:**Securities and Exchange Board of India (SEBI)**

Plot No. C4-A, G Block, Bandra Kurla Complex
 Bandra (East), Mumbai 400 051, India
 Tel: 91 22 2644 9000/4045 9000
 Fax: 91 22 26449016/20
 Email: sebi@sebi.gov.in

Registrar of Companies, Karnataka

'E'Wing, 2nd Floor, Kendriya Sadana, Koramangala
 Bengaluru – 560 034, India
 Tel: 91 80 25633105 (Direct) 91 80 25537449/91 80 25633104
 Fax: 91 80 25538531
 E-mail: roc.bangalore@mca.gov.in

Bombay Stock Exchange Limited

Phiroze Jeejeebhoy Towers
 Dalal Street, Mumbai – 400 001, India
 Phone: 91 22 2272 1233/4, 91 22 66545695
 Fax: 91 22 22721919

Depository for Equity Shares-India:**National Securities Depository Limited**

Trade World, A Wing, 4th and 5th Floors
 Kamala Mills Compound, Senapathi Bapat Marg
 Lower Parel, Mumbai – 400 013, India
 Tel: 91 22 2499 4200
 Fax: 91 22 24976351
 Email: info@nsdl.co.in

Central Depository Services (India) Limited

17th floor, Phiroze Jeejeebhoy Towers
 Dalal Street, Fort, Mumbai 400 001, India
 Tel: 91 22 22723333
 Fax: 91 22 22723199
 Email: helpdesk@cdslindia.com

The following special resolutions were passed by the Company in its last three Annual General Meetings:

Date of AGM	Time of AGM	Location	Table No. 07
September 22, 2011	3:00 PM	Redwood, Hotel Royal Orchid Central, Manipal Centre, 47/1, Dickenson Road, Bengaluru-560 042	
August 07, 2012	3:00 PM	St. Marks Hotel, 4/1, St. Marks Road, Bengaluru-560 001	
September 27, 2013	11:30 AM	Hotel Woodlands, "Chandani Hall" No-5, Rajaram Mohan Roy Road, Bengaluru-560025	

There was no postal ballot taken during the year and no special resolutions were passed through the postal ballot procedure.

Financial Calendar: April 1, 2013 to March 31, 2014

Book Closure dates for the forthcoming AGM:

August 08, 2014 to August 14, 2014 (both days inclusive).

Your Company's equity shares are listed on the Bombay Stock Exchange Limited ('BSE') as at March 31, 2014 and Scrip code is 517344.

An Annual Listing fee for the year 2014-15 (as applicable) has been paid by the Company to the Bombay Stock Exchange. The Annual Custodial fee for the year 2014 -15 (as applicable) has been paid by the Company to NSDL and CDSL.

Share Transfer System:

The Company's Registrars and Share Transfer agent, M/s. Universal Capital Securities Pvt. Ltd. (formerly Mondkar Computers Private Limited), processes shares sent for transfer/transmission, etc. in two batches every month and ensures that the share transfers/transmissions, etc. are effected within stipulated time. Transfers/transmissions which are complete in all respects are processed

D. INFORMATION FOR SHAREHOLDERS**Corporate Profile:**

Mindteck (India) Limited was incorporated in Mumbai in 1991 as Hinditron Informatics Limited under the Companies Act, 1956. We changed our name to Mindteck (India) Limited in September, 1999. Later on, in the year 2006, the registered office of the Company was shifted from Mumbai to Bengaluru. The CIN of the Company is L30007KA1991PLC039702 and the address of our registered office is Prestige Atlanta, No.10, Industrial Layout, 7th Main, 80 Feet Road, 3rd Block, Koramangala, Bengaluru - 560 034, Karnataka, India.

Forthcoming Annual General Meeting (AGM):

AGM for the year 2013-14 is scheduled on Thursday, August 14, 2014 at 11:00 A.M. at Hotel Woodlands, "Chandani Hall" No-5, Rajaram Mohan Roy Road, Bengaluru - 560 025.

Location and time of last three AGMs held:

Date of AGM	Time of AGM	Location	Table No. 07
September 22, 2011	3:00 PM	Redwood, Hotel Royal Orchid Central, Manipal Centre, 47/1, Dickenson Road, Bengaluru-560 042	
August 07, 2012	3:00 PM	St. Marks Hotel, 4/1, St. Marks Road, Bengaluru-560 001	
September 27, 2013	11:30 AM	Hotel Woodlands, "Chandani Hall" No-5, Rajaram Mohan Roy Road, Bengaluru-560025	

and the certificates in respect thereof are returned to the lodger/shareholder within 15 days of lodgments.

Secretarial Audit:

As per the requirements of clause 47 of the Listing Agreement and as a measure of good corporate governance practice, the Company has appointed Mr. Rajnikant Shah, Practicing Company Secretary, to undertake the reconciliation of the share capital of the Company and submit a report to the BSE. The audit reconciles on a quarterly basis, the total admitted capital with National Securities Depository Limited (NSDL) and Central Depository Services (India) Limited (CDSL) with the total issued and listed capital of the Company. The audit has confirmed that the total issued/paid up capital is in agreement with the aggregate total number of shares in physical form and the total number of dematerialized shares held with NSDL and CDSL.

Dematerialization of shares and liquidity:

The Company's shares are compulsorily traded in dematerialized form and are available for trading on both the depositories in

India viz. National Securities Depository Limited (NSDL) and Central Depository Services (India) Limited (CDSL). Equity Shares of the Company representing 98.18% of the Company's equity share capital are dematerialized as on March 31, 2014. The Company continues to facilitate requests for dematerialization of shares on a regular basis and the request can be routed through our RTA agent M/s. Universal Capital Securities Private Limited (formerly Mondkar Computers Private Limited). Under the Depository system, the International Securities Identification Number (ISIN) allotted to our shares is INE110B01017.

Investors' complaints

Table No. 09

Name of the Complaint	2013-14		2012-13	
	Received	Attended	Received	Attended
No. of investor issues	1	1	Nil	Nil
No. of legal cases in the matter	Nil	Nil	Nil	Nil

There are no legal proceedings related to disputes in the matter of Shares of the Company.

Shareholding Pattern as on March 31, 2014:

Table No. 10

Sl. No.	Particulars	No. of shares	No. of shares
1.	Shareholding of Promoter and Promoter Group	16,169,857	64.73
2.	Bodies Corporate	365,482	1.46
3.	Institutions	25	0.00
4.	Individuals	2,015,221	8.07
5.	NRI/OCBs	2,578,440	10.32
6.	Clearing Members	32,600	0.13
7.	Foreign National	205,671	0.82
8.	Foreign Corporate Bodies	2,292,958	9.18
9.	Foreign Bank	0.00	0.00
10.	Mindteck Employees Welfare Trust	416,000	1.67
11.	Mindteck Investors Trust	903,817	3.62
	Total	24,980,071	100.00

Shareholders holding more than 1% of the Company (other than promoters of the Company):

Table No. 11

Sl. No.	Name of the shareholders	No. of shares	% of holding
1.	First Asian Investments, S.A.	1,390,569	5.57
2.	Banco Efisa, S.A.	1,229,211	4.92
3.	Mindteck Investors Trust	903,817	3.62
4.	Tadhamon International Islamic Bank	802,000	3.21
5.	Mindteck Employees Welfare Trust	416,000	1.67
6.	Mahesh Tharani	320,149	1.28
7.	Infotech Ventures Ltd	261,747	1.05

Distribution of Shareholding as on March 31, 2014:

Table No. 12		As on March 31, 2014				As on March 31, 2013			
Range		Shareholders		Shares		Shareholders		Shares	
No. of Shares		Numbers	% to Total	Numbers	% to Total	Numbers	% to Total	Numbers	% to Total
1 – 500		7244	92.27	535,371	2.14	6990	95.32	460,358	1.85
501 – 1,000		270	3.43	226,679	0.91	168	2.29	134,984	0.54
1,001 – 2,000		142	1.80	219,661	0.88	65	0.89	93,221	0.37
2,001 – 3,000		52	0.66	132,117	0.53	27	0.37	65,216	0.26
3,001 – 4,000		29	0.37	100,861	0.40	18	0.25	64,116	0.26
4,001 – 5,000		21	0.27	97,834	0.39	9	0.12	40,931	0.16
5,001 – 10,000		47	0.60	343,350	1.38	25	0.34	189,940	0.77
10,001 & above		46	0.60	23,324,198	93.37	31	0.42	23,884,005	95.80
Total		7,851	100	24,980,071	100.00	7,333	100.00	24,932,771	100.00

Unclaimed Dividend:

Section 205A(5) and 205C of the Companies Act, 1956, mandates that companies transfer Dividend that has been unclaimed for a period of seven years from Unpaid Dividend Account to the Investor Education and Protection Fund (IEPF). In accordance with the following schedule, the Dividend for the years mentioned as follows, if unclaimed within a period of seven years, will be transferred to IEPF.

Table No. 13	Dividend Year	Type of Dividend	Dividend Rate	Date of Declaration	Due date for transfer to IEPF	Amount Unclaimed ⁽¹⁾ Rs.
	2006-07	Final Dividend	10%	28/09/2007	01-11-2014	83,120.00
	2007-08	Final Dividend	5%	30/07/2008	03-09-2015	46,105.50

⁽¹⁾Amount unclaimed as at March 31, 2014

The Shareholders may write to M/s. Universal Capital Securities Pvt. Ltd before due dates to claim their unclaimed dividend. Shareholders are cautioned that once unclaimed dividend is transferred to IEPF account, no claim shall lie in respect thereof with the Company. The statement of unclaimed dividend as on March 31, 2014, as prescribed under Form 5 INV, has been posted on the website of the company.

In accordance with the above provision, during the year Rs. 83,103.00 was credited to the Investor Education and Protection Fund Account.

Communication to the Shareholders:

(i) Quarterly Results:

The Company has published its quarterly financial results in the Business Standard (English)/Financial Express (English) and Hosadigantha(Bengaluru Edition - Kannada) newspapers during the year ended March 31, 2014. The results have also been submitted to the Bombay Stock Exchange where the Company's equity shares are listed and posted on the Company's website (www.mindteck.com).

(ii) News Releases and Presentations:

Official news releases, detailed presentations made to media, analysts, etc. are displayed on the Company's website: www.mindteck.com

(iii) Website:

The Company's website www.mindteck.com contains a separate dedicated section "Investors" where all the shareholders' information is available, along with the full Annual Report of the Company.

(iv) Annual Report:

The Annual Report of the Company containing the annual audited financial statements, both standalone and consolidated, along with the Auditors' Report thereon, the Director's Report, Management Discussion and Analysis Report and other important information, is circulated to the shareholders of the Company holding shares in physical format. We have also sent soft copies of the Annual Report, along with all the above listed documents, to all the investors whose email ID is registered/made available to us as per the guidelines of the "Green Initiative" instituted by Ministry of Corporate Affairs.

(v) Soft Copies:

The Ministry of Corporate Affairs (MCA) has taken a "Green Initiative in Corporate Governance" (Circular No. 17/2011 dated 21.04.2011 and Circular No. 18/2011 dated April 29, 2011) by allowing paperless compliances by Companies through electronic mode. Thus, Companies are now permitted to send various notices /documents, including Annual Reports, to its shareholders through electronic mode. We request all shareholders to be a part of this "Green Initiative" by updating their email IDs for all future correspondence with their respective DPs (for shares held in Demat form) or email IDs of our RTA agents, viz. Universal Capital Securities Private Limited by sending a mail to mindteck.investors@uniseq.in or to the Company Secretary, to shivarama.adiga@mindteck.com. The soft copy of the Annual Report will be made available on the website of the Company. You can also opt for a physical copy by writing to shivarama.adiga@mindteck.com. If not opted, it is deemed to be accepted to send a soft copy through e-mail.

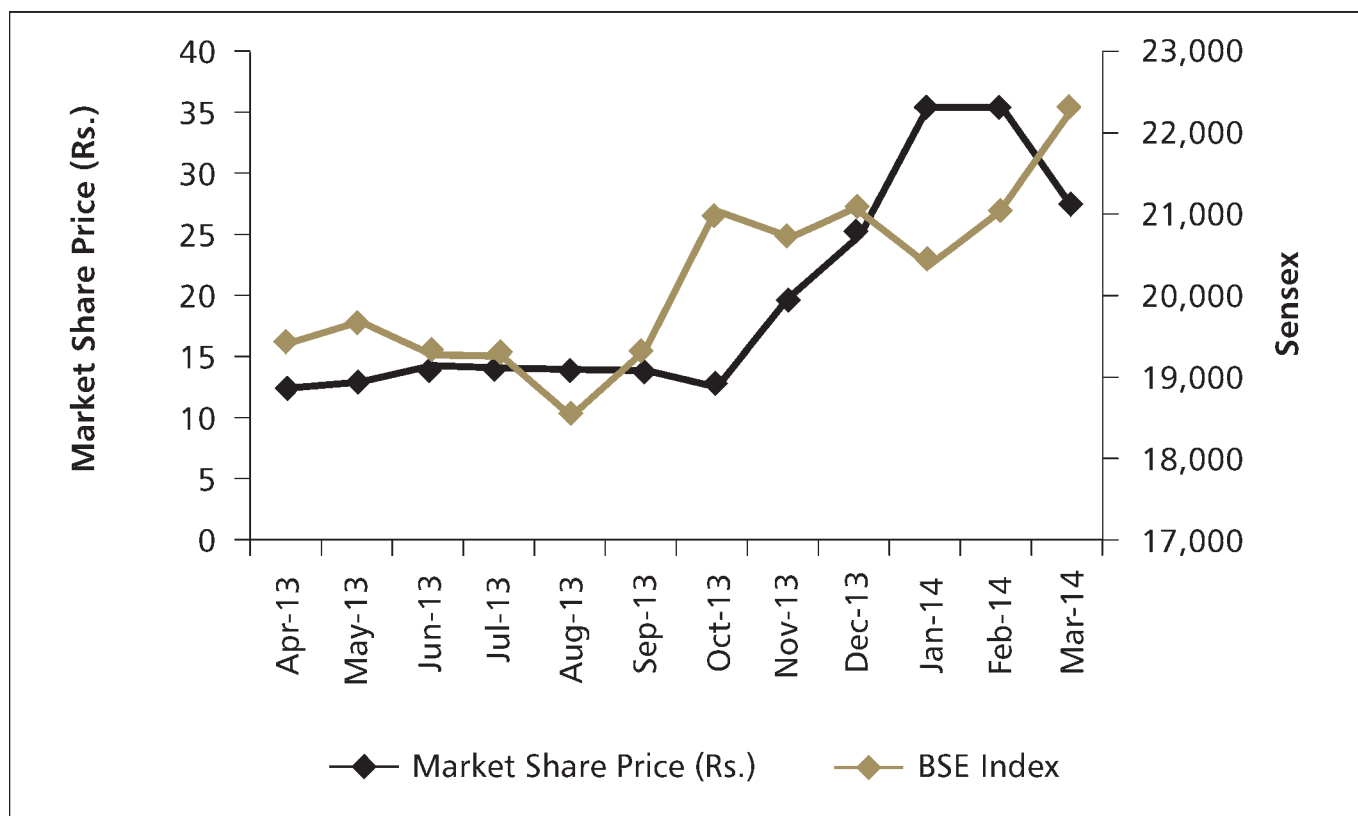
Market Price Data: High/Low of Company's equity shares on the Bombay Stock Exchange, Mumbai during each month in the year ended March 31, 2014:

Table No. 14	Sensex		Share Price		Trade	
Month	High	Low	High Rs.	Low Rs.	No. of shares traded	Value Rs.
April 2013	19,622.68	18,144.22	14.99	12.00	33,546	463,157
May 2013	20,443.62	19,451.26	13.65	12.01	5,032	65,208
June 2013	19,860.19	18,467.16	14.90	13.75	205	3,001
July 2013	20,351.06	19,126.82	-	-	-	-
August 2013	19,569.20	17,448.71	15.15	12.27	17,635	241,878
September 2013	20,739.69	18,166.17	15.77	13.36	8,259	117,211
October 2013	21,205.44	19,264.72	15.87	12.65	15,780	208,333
November 2013	21,321.53	20,137.67	20.70	13.05	355,497	6,781,544
December 2013	21,483.74	20,568.70	26.00	18.35	422,990	8,654,512
January 2014	21,409.66	20,343.78	44.90	25.50	996,662	35,601,661
February 2014	21,140.51	19,963.12	39.65	33.10	597,913	22,014,232
March 2014	22,467.21	20,920.98	38.75	27.15	434,273	14,442,823

Performance in comparison to broad-based BSE Index and BSE IT Index:

Table No. 15	Month	Closing share price on month's last trading day (Rs.)	BSE Index	BSE IT Index
	April 2013	12.60	19,504.18	5,709.6419
	May 2013	13.12	19,760.30	6,065.34
	June 2013	14.90	19,395.81	6,255.10
	July 2013	-	19,345.70	7,458.19
	August 2013	14.15	18,619.72	8,027.55
	September 2013	14.49	19,379.77	7,839.26
	October 2013	12.93	21,164.52	8,477.73
	November 2013	20.00	20,791.93	8,414.25
	December 2013	26.00	21,170.68	9,081.78
	January 2014	36.20	20,513.85	9,476.62
	February 2014	36.00	21,120.12	9,792.25
	March 2014	28.05	22,386.27	8,789.38

Performance of Mindteck shares in comparison to BSE Index:



(Source data: www.bseindia.com)

On behalf of the Board of Directors

Yusuf Lanewala
Chairman and Managing Director

Bengaluru, India
Date: May 29, 2014

DECLARATION REGARDING COMPLIANCE BY BOARD MEMBERS AND SENIOR MANAGEMENT PERSONNEL WITH THE COMPANY'S CODE OF CONDUCT

This is to confirm that the Company has adopted a Code of Business Conduct and Ethics for its Senior Management including the Managing Director and Non-executive Directors/Independent Directors. I confirm that the Company has in respect of the financial year ended March 31, 2014, received from the Senior Management Team of the Company and the Members of the Board a declaration of compliance with the Code of Business Conduct and Ethics as applicable to them.

On behalf of the Board of Directors

Yusuf Lanewala
Chairman and Managing Director

Bengaluru, India
Date: May 29, 2014